

Measuring the impact of beliefs on luxury buying behavior in an emerging market

Empirical evidence from India

Empirical
evidence from
India

341

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Abstract

Purpose – Demand for luxury brands is increasing at a very fast pace in emerging markets like India. But very few quantitative studies have been conducted to explore the reasons behind this sudden surge in demand. Thus, the purpose of this paper is to understand the impact of beliefs on consumer buying behavior for luxury fashion brands in the Indian context employing theory of planned behavior and to develop a comprehensive understanding regarding motivating factors behind luxury goods consumption.

Design/methodology/approach – Researcher-controlled sampling techniques (judgment and snowball sampling) were employed to collect data from actual users of luxury fashion brands in New Delhi (India). Statistical tests including confirmatory factor analysis and structural equation modeling were applied for data analysis.

Findings – The findings show that all three beliefs – attitudinal belief, normative belief (NB) and control belief – were positively and significantly related to attitude, subjective norm and perceived behavioral control (PBC). NB was found to have a positive impact on PBC as well as actual consumer purchasing behavior for luxury fashion brands.

Originality/value – This research contributes to the extant literature by bringing to light new findings that could help provide meaningful insights to the academicians and marketing practitioners.

Keywords India, Brands, Consumer behaviour, Fashion, Luxury, Theory of planned behaviour

Paper type Research paper

Introduction

The overall personal luxury goods market grew to around €250 billion in 2015 at the rate of 13 percent (current exchange rates), while the real growth has slipped to 1-2 percent on account of global economic slowdown (Bain & Company, 2015). Although, worldwide luxury goods market is sluggish, the Indian luxury market has been rapidly growing at 25 percent per annum and estimated to reach \$18.3 million (Chaturvedi, 2016). In fact, India is amongst the fastest growing luxury markets across the globe (Aroche, 2015). Key factors leading to surge in demand for luxury brands in India include the burgeoning urban middle-class population which has a penchant for global luxury brands; the growing number of ultra-high net worth individuals (HNIs) (those with a net worth exceeding \$50 million)[1] and rise in the number of dollar millionaires who are estimated to grow by 65 percent from 185,000 in 2015 to 305,000 by 2020 (Credit Suisse Global Wealth Report, 2015).

Although, luxury market in India is in a nascent stage of development and it hardly contributes 1-2 percent of the global luxury market (Euromonitor International, 2016), still it is very lucrative for international luxury players and provides huge business opportunities for growth and expansion. Apart from traditional rich who are regular buyers and the rich



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professionals who are conscious spenders, there is a large untapped segment comprising businessmen with significant resources, but who do not have an eye to appreciate fine luxury brands due to lack of exposure, accessibility and brand awareness. This group is expected to soon become the largest consumer segment for luxury goods in India translating into monumental increase in demand for luxury brands.

Various studies have been conducted to understand luxury purchase behavior (PB) in the western context (Vigneron and Johnson, 2004; O'Cass and McEwen, 2004; Tsai, 2005; Summers *et al.*, 2006; Wiedmann *et al.*, 2007; Amatulli and Guido, 2011; Cheah *et al.*, 2015). However, little efforts have been made in the past by both the researchers as well as marketers to understand luxury consumer behavior in the context of emerging economies like India due to the insignificant presence of luxury brands in these markets. But, in recent times with the increase in internet penetration, rise in number of HNIs, affluent millennials, informed consumers, independent youth, wide accessibility of luxury brands, mushrooming upper middle-class population and increase in purchasing power of consumers, the Indian luxury market has become very attractive for global luxury companies. Thus, a need existed to carry out a comprehensive study to systematically understand and analyze the key factors that affect PB of the Indian consumers with respect to luxury fashion brands.

This study is organized as follows: it presents a review of literature followed by the conceptual framework and hypotheses development. The next section provides research methodology which highlights data collection and sampling techniques used. The following section mentions key findings of the study. Toward the end, implications and directions for future research work are presented.

Literature review and hypotheses development

The word "luxury" is derived from Latin word "luxuria" which means "extras of life" (Danziger, 2005). There is no universally recognized marketing definition of luxury goods in the literature (Dubois and Laurent, 1996; Vickers and Renand, 2003; Beverland, 2004). Many authors have worked in this area (Leibenstein, 1950; Vigneron and Johnson, 2004; Wiedmann *et al.*, 2007). Smith (1776) classified consumption into four groups: "necessary (to sustain life), basic (for normal growth and well-being of individuals), affluence (goods that are not necessary for growth and prosperity) and luxury (goods that are scarce, difficult to attain and/or very expensive)." Different people may perceive different things as luxury (Hauck and Stanforth, 2007). According to Kapferer (1997), "[...] luxury defines beauty; it is art applied to functional items [...] luxury items provide extra pleasure and flatter all senses at once [...]." In the literature, researchers have often used "luxury" to illustrate the most prestigious brands (Vigneron and Johnson, 2004). Consumers achieve supremacy and prominence by consuming these goods (Cheah *et al.*, 2015) and the term coined was "conspicuous consumption" (O'Cass and McEwen, 2004). Luxury brands bestow respect and satisfy their owner's hedonic and utilitarian wants (Choo *et al.*, 2012).

Factors behind luxury goods consumption

Studies in luxury consumer behavior reflect both social as well as personal orientation results in the consumption of luxury goods (Wong and Ahuvia, 1998; Vigneron and Johnson, 1999, 2004; Vickers and Renand, 2003; Tsai, 2005; Jain *et al.*, 2015). The acquisition of luxury goods brings esteem to the user, other than providing functional value (Shukla, 2010; Vigneron and Johnson, 2004). Luxury goods consumption is motivated by interpersonal effect, namely, "Veblen, snob and bandwagon effect" and personal effects, namely, "hedonic and perfectionism effects" (Vigneron and Johnson, 1999). Table I presents some of the recent studies that have focused on understanding the determinants of luxury purchase intention for fashion brands. Jain *et al.* (2015) in their conceptual study concluded that cultural orientation, intrinsic factors, extrinsic factors and resources lead to luxury brand

Citation	Focus of study	Outcome	Type of study
Jain <i>et al.</i> (2015)	To understand factors affecting luxury purchase intention	Cultural orientation, intrinsic factors, extrinsic factors and resources leads to luxury purchase intention	Conceptual
Zhang and Kim (2013)	To understand factors influencing Chinese consumers' purchase intention for luxury fashion brands	Brand consciousness, social comparison and fashion innovativeness have significant impact on luxury goods consumption	Empirical
Li <i>et al.</i> (2013)	To understand Chinese consumer behavior in context of luxury fashion brands	Affective attitude, functional and social value leads to luxury purchase intention	Empirical
Zhan and He (2012)	To investigate motivations for luxury consumptions among Chinese consumers	Value consciousness and susceptibility to normative influence are divers of luxury consumption	Empirical
Hung <i>et al.</i> (2011)	To determine antecedents of luxury brand purchase intention among Chinese consumers	Social influence, experiential value, functional value and vanity leads to luxury goods consumption	Empirical
Amatulli and Guido (2011)	To Determine factors leading to luxury purchase intention in Italian market	Inner motives and quality value are main drivers for luxury purchase intention	Qualitative
Park <i>et al.</i> (2007)	To identify factors determining luxury purchase intention among the Korean consumers	Materialism, conformity, need for uniqueness, social recognition are positively related to luxury purchase intention	Empirical

Source: Authors' analysis

Table I.
Review of factors
behind luxury
purchase intention

purchase intention. Zhang and Kim (2013) revealed that brand consciousness, social comparison and fashion innovativeness have deep influence on Chinese consumers' luxury goods consumption. However, a qualitative study performed by Amatulli and Guido (2010) observed that inner motivation and quality value are the key determinants for luxury purchase intention in Italian market. Park *et al.* (2007) found that materialism, conformity, need for uniqueness and social recognition are factors driving luxury purchase intention among the Korean consumers.

Theory of reasoned action (TRA) and theory of planned behavior (TPB)

The theoretical foundations of present study rest on TRA suggested by Fishbein and Ajzen (1975) and Ajzen and Fishbein (1980) as well as the TPB proposed by Ajzen (1991). In fact, Ajzen (1991) felt the need to add perceived behavioral control (PBC) variable to the existing two variables – attitude toward behavior and subjective norm (SN) – in order to deal with the non-volitional situations. According to TPB (Ajzen, 1991), human behavior is influenced by three beliefs, namely, attitudinal belief, normative beliefs (NB) and control beliefs. Attitudinal beliefs cause favorable or unfavorable attitude toward the behavior, NB produce perceived social pressures and control beliefs cause PBC. In turn, attitude, SN and PBC lead to behavioral intention which further results in actual PB. TPB posits that an individual intends to perform a behavior when s/he evaluates it positively, when s/he experiences social pressure to perform it and when s/he believes to have means to do it (Ajzen, 1988, 1991). These theories have played a crucial role in providing deep understanding of both personal and social factors when applied to various consumer behavior studies (Lee and Green, 1991; Chung and Pysarchik, 2000; Ling, 2009; Sanyal *et al.*, 2014).

Attitudinal beliefs

Attitudes are cognitive, affective and behavioral. The cognitive base for attitude formation assumes that beliefs and attitudes are formed through the process of reasoning. In contrast, the affective (emotional) or behavioral base for attitude formation gives eminence to stimuli-response mechanisms (Underwood, 2008). A person's attitude represents his personal convictions and feelings toward the behavior of interest (Fishbein and Ajzen, 1975). An individual who believes that performing a specific behavior will result in positive outcome will have a favorable attitude toward performing that behavior. The beliefs underlying attitude toward the behavior are termed as "attitudinal beliefs." In other words, beliefs about the presence of factors which may facilitate or impede performance of behavior are referred as "behavioral beliefs" or "attitudinal beliefs" (Sommer, 2011). According to TRA (Ajzen and Fishbein, 1980) attitude takes into consideration the beliefs about the consequences of performing the behavior (B) and of the evaluation of these consequences (E), as depicted in the following equation:

$$A_{act} = \sum_{i=1}^n B_i E_i \quad (1)$$

Various studies have confirmed that cognitive belief ($B_i E_i$) is a significant predictor of attitude (Miniard and Cohen, 1983; Lee and Green, 1991; Netemeyer and Bearden, 1992). Attitude toward luxury brands has important influence on buyers' intentions to purchase luxury brands (Bian, 2010; Zhang and Kim, 2013). Yoo and Lee (2009) found that consumers' positive attitude toward purchasing counterfeits has a significant impact on their purchase intention. Several other researchers have indicated that in the consumer decision-making process, behavioral intention is directly related to attitude (Ajzen and Fishbein, 1980; Shen *et al.*, 2003; Fitzmaurice, 2005; Summers *et al.*, 2006; Bellman *et al.*, 2009). Hence, the hypotheses posited in this study are as follows:

- H1. Attitudinal belief has a significant, direct and positive impact on attitude in relation to purchase of luxury fashion brands by consumers in India.
- H2. Attitude has a significant, direct and positive impact on purchase intention for luxury fashion brands by consumers in India.

NB

SNs are the individual's perception of the social pressures for or against performing the behavior (Fishbein and Ajzen, 1975). SNs may put pressure regarding performance or non-performance of behavior in question, independent of an individual's own attitude toward the given behavior. The different influencers involved in the SNs could be family, friends and colleagues. The beliefs underlying SNs are known as "NB." They help in the prediction of SNs, intention and behavior. SNs are examined by NB and motivation to comply with the beliefs (MC) (Ajzen and Fishbein, 1980), as shown in the following equation:

$$SN = \sum_{j=1}^n NB_j MC_j \quad (2)$$

SN has been found to be positively related to Chinese consumers' luxury purchase intention (Ling, 2009). Various other studies have shown a significant relationship between SN and purchase intention (Teo and Pok, 2003; Ramayah *et al.*, 2003, 2004; Yulihisri, 2004;

Chan and Lu, 2004; May, 2005; Kim and Karpova, 2010). Hence, the hypotheses posited in this study are as follows:

- H3. NB has a significant, direct and positive impact on SN in relation to purchase of luxury fashion brands by consumers in India.
- H4. SN has a significant, direct and positive impact on purchase intention for luxury fashion brands by consumers in India.

Control belief

PBC is defined as, “an individual’s perception of the ease or difficulty in performing the behavior of interest, given the presence or absence of requisite resources and opportunities” (Ajzen, 1991). PBC is evaluated by total set of control beliefs, that is, beliefs about existence of factors that may promote or hinder performance of behavior (Ajzen, 1991). Particularly, the influence of each control belief (C) is weighted by the perceived power (P) of the control factor, as depicted in the following equation:

$$PBC = \propto \sum_{i=1}^n C_i P_i \quad (3)$$

Ling (2009) concluded that PBC is a key factor in determining purchase intention of luxury consumers in China. Numerous studies have confirmed that PBC is a predictor of purchase intention (Kim and Karpova, 2010; Jin and Kang, 2011; Son and Jin, 2013). Hence, the hypotheses posited in this study are as follows:

- H5. Control belief has a significant, direct and positive impact on PBC in relation to purchase of luxury fashion brands by consumers in India.
- H6a. PBC has a significant, direct and positive impact on purchase intention for luxury fashion brands by consumers in India.
- H6b. PBC has a significant, direct and positive impact on purchase of luxury fashion brands by consumers in India.

Behavioral intention

Behavioral intention is defined as, “the perception of an individual toward performance of a particular behavior” (Fishbein and Ajzen, 1975). When behavior is under a person’s control, intention can predict actual behavior with significant accuracy (Ajzen, 1988). But, intention and behavior may not be perfectly correlated (Fishbein and Ajzen, 1975). There pertains strong biasness regarding overestimating the probability of doing desired behavior and underestimating the probability of not doing undesired behavior. This may result in variability between intention and the actual behavior (Ajzen *et al.*, 2004). In case where time interval between the intention and the behavior is less, they may be highly correlated (Fishbein and Ajzen, 1981). In the past, studies have found purchase intention as an antecedent of actual PB (Zeithaml *et al.*, 1996; Bian and Forsythe, 2012; Li *et al.*, 2012; Zhang and Kim, 2013). Hence, the hypothesis posited in this study is as follows:

- H7. Purchase intention has a significant, direct and positive impact on purchase of luxury fashion brands by consumers in India.

Conceptual framework

The growing demand for luxury has made it imperative for luxury brand managers and academicians to understand the motivators behind luxury goods consumption in the

Indian context. But, so far, no quantitative study has been conducted to understand the impact of beliefs on consumer PB for luxury fashion brands in India, specifically, employing TPB (Ajzen, 1991). This study is an effort in the direction of addressing this gap in the literature. This study tries to determine the applicability and validity of TPB (Ajzen, 1991) in explaining consumer behavior with respect to purchase of luxury fashion brands in an emerging market like India. It also suggests a behavioral framework to help practitioners as well as marketers better understand, analyze and explain consumer buying behavior for luxury fashion brands by consumers in India (Figure 1).

Methodology and measurement

Data collection

Based on the extensive review of literature (Phau and Leng, 2008; Ling, 2009; Hung *et al.*, 2011; Shukla, 2011; Kumar 2012) and practical insights, survey method was considered the most appropriate for the collection of data for the present study. Further, survey method is best suited to understand the relationship between variables such as beliefs, attitude, purchase intention (Bryman, 2012). The study questionnaire was divided into two sections: Section A comprised screening questions as well as those pertaining to beliefs, attitude, intention, etc. which have been considered in the TPB model; and the questions in Section B were designed to generate demographic profile of subjects. As recommended in the previous studies, screening question was employed to identify actual users of luxury fashion brands by requesting them to share names of luxury fashion brands owned by them (Christodoulides *et al.*, 2008; Shukla, 2010, 2011).

The researcher-controlled sampling technique used in the present study has been employed in numerous extant studies in luxury domain giving valid and reliable results (Park *et al.*, 2007; Gao *et al.*, 2009; Zhan and He, 2012). A total of 350 questionnaires were administered, of which 140 valid responses were obtained through mall intercept surveys; while 117 responses were generated using online version of the instrument. *t*-test yielded insignificant differences between offline and online responses. Thus, the data obtained through these two modes of administration were similar and responses could be analyzed collectively.

Very few studies in the past have used actual luxury brand consumers as study sample (e.g. Summers *et al.*, 2006; Ling, 2009; Ross and Harradine, 2011). Personal interviews were conducted with patrons of luxury who were enrolled for various programs at a leading fashion institute located in New Delhi (India). Data were also generated from actual users of

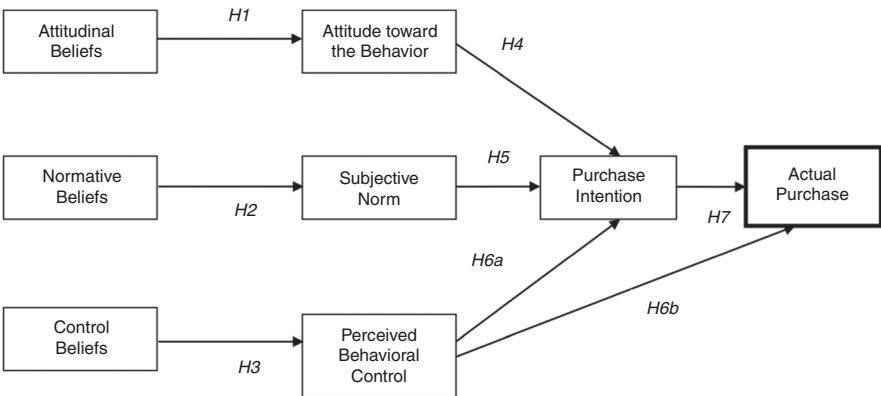


Figure 1.
Proposed model
for the study

Source: Ajzen (1991)

luxury brands visiting “Emporio Mall,” also located at New Delhi. This high end mall is a popular destination for luxury patrons.

An online version of questionnaire was developed and hosted on Google Docs and the patrons of luxury brands were approached while shopping at “Emporio Mall” and requested to provide feedback using paper and pencil version of the questionnaire. However, owing to paucity of time few respondents expressed inability to respond immediately but promised to provide feedback to the online version of the instrument. The willing patrons of luxury consented to share their e-mail IDs and subsequently the online version of questionnaire hosted on Google docs was e-mailed to them as a link with the request to provide feedback. In addition, some of the respondents were persuaded to share contact details of family members and friends, who regularly shopped for luxury fashion brands. Later, they too were contacted via e-mail through these referrals and link to the online version of questionnaire was mailed. These measures helped in generating quality responses from actual patrons of luxury fashion brands.

Of the total 257 respondents, around 35 percent were males and remaining 65 percent were females. Majority of the respondents were young, ranging between age group of 26 and 35. Post graduates constituted around 60 percent of the sample, and around three-fourth of the total respondents had annual income greater than US\$75,000. Therefore, it can be safely concluded that educated affluent millennials are the major buyers of luxury fashion brands in India. These results are in line with the findings of earlier studies (Zhan and He, 2012; Li *et al.*, 2011; Hung *et al.*, 2011).

Scale development

Measurement scales for this study were developed in line with suggestions by Francis *et al.* (2004), Ajzen (2007) and inputs from earlier studies on the subject (e.g. Ajzen and Fishbein, 1980; Son, 2007; Ling, 2009). First, face validity and content validity were assessed, then pilot study was conducted and scales were refined based on suggestions of experts and feedback from respondents. Thereafter, final data were collected from actual buyers of luxury fashion brands.

For all variables other than attitude and PBC, a five-point Likert scale ranging from strongly disagree (+1) to strongly agree (+5) was used. PB was measured by the scales developed by Schlegelmilchet *et al.* (1996) and Dubois *et al.* (2005). An additional item “I would mostly buy luxury goods for myself” was included based on suggestions of expert panel. Purchase intention was measured by the scales developed by Madden *et al.* (1992), Ajzen and Fishbein (1980) and Bian and Forsythe (2012). Attitude was measured by three items generated from the studies of Ling (2009), Fitzmaurice (2005) and Madden *et al.* (1992) using a seven-point semantic differential scale. SN was measured by four items generated from the studies of Ajzen and fishbein (1980), Ling (2009) and Fitzmaurice (2005). The scale to measure PBC comprised four items borrowed from Francis *et al.* (2004) and Shim *et al.* (2001); two items were assessed on a five-point Likert scale and remaining items were analyzed using a seven-point semantic differential scale.

In the present research, all five motivations of luxury goods, namely: quality value, social value, conspicuous value, hedonic value and uniqueness value as prescribed by Vigneron and Johnson (1999) were examined to measure attitudinal beliefs. Conspicuous value scale comprised four items from Truong *et al.* (2008) and Ling (2009). Four items related to uniqueness value were derived from the studies by Ling (2009) and Tian *et al.* (2001). Social value scale included four items from Li *et al.* (2011) and Smith and Colgate (2007). To measure a hedonic value, measurement items were adopted from scales suggested by Spangenberg *et al.* (1997), Tsai (2005), Smith and Colgate (2007) and Babin *et al.* (1994). Quality value was measured by items developed by Tsai (2005) and Mathwick *et al.* (2001). Each of the five beliefs about purchasing luxury fashion brands was evaluated using established scales.

Conspicuous value was evaluated by items developed by Marcoux *et al.* (1997). Unique value and social value were measured employing scales developed by Ling (2009). A hedonic value and quality value were obtained using scales developed by Smith and Colgate (2007), Mathwick *et al.* (2001) and Tsai (2005). The scale items for measuring NB and motivation to comply were adopted from the work by Ajzen and Fishbein (1980). Three items each for measuring control beliefs and the perceived power suggested by Ling (2009) were also included in the research instrument.

Results

Measurement model, reliability and validity

Confirmatory factor analysis was performed to test the measurement model. The results showed acceptable fit to the data, with $\chi^2 = 489.74$, degrees of freedom (df) = 223, normed $\chi^2 = 2.196$, AGFI = 0.811, CFI = 0.903, IFI = 0.905 and RMSEA = 0.068 (Table II). All the values were within the acceptable range as recommended by Hair *et al.* (2010).

The convergent validity of the measurement model was tested by assessing the statistical significance of the factor loadings, AVE and construct reliability (Hair *et al.*, 2010). As demonstrated in Table II, after deleting two items from attitudinal belief (B_iE_i1 and B_iE_i5) and one item each from SN1, PBC1 and PB1, overall fit statistics of the measurement model containing 24 manifest indicators for eight latent constructs was within the acceptable range as suggested by Fornell and Larcker (1981) and Hair *et al.* (2010).

To check the discriminant validity, values of AVE and squared correlation of constructs were compared for each pair of constructs. As shown in Table III, this criterion was met as no correlation exceeds the square root of the average variance extracted.

Construct	Item	Standardized factor loadings	Cronbach's α	CR	AVE
Attitudinal belief (B_iE_i)	B_iE_i2	0.817	0.771	0.82	0.608
	B_iE_i3	0.723			
	B_iE_i4	0.789			
Normative belief (NB_iMC_i)	NB1MC1	0.646	0.783	0.796	0.568
	NB1MC2	0.826			
	NB1MC3	0.777			
Control belief (C_iP_i)	C_iP_i1	0.894	0.860	0.864	0.681
	C_iP_i2	0.86			
	C_iP_i3	0.711			
Attitude (AT)	AT1	0.834	0.822	0.826	0.614
	AT2	0.802			
	AT3	0.782			
Subjective norm (SN)	SN2	0.508	0.748	0.766	0.532
	SN3	0.855			
	SN4	0.78			
Perceived behavioral control (PBC)	PBC2	0.531	0.730	0.744	0.5
	PBC3	0.78			
	PBC4	0.78			
Purchase intention (PI)	PI1	0.565	0.792	0.805	0.588
	PI2	0.913			
	PI3	0.783			
Purchase behavior (PB)	PB2	0.661	0.743	0.748	0.501
	PB3	0.627			
	PB4	0.821			

Table II.
Confirmatory factor
analysis

Notes: Normed $\chi^2 = 2.196$; CFI = 0.903; AGFI = 0.811; IFI = 0.905; RMSEA = 0.068

Table III.
Discriminant validity
of TPB

B_iE_i	ATT	SNORM	NB_iMC_j	PINT	PBCN	C_iP_i
0.780						
0.614	0.783					
0.383	0.140	0.730				
0.435	0.252	0.441	0.754			
0.369	0.346	0.296	0.251	0.767		
0.355	0.581	0.010	0.293	0.287	0.707	
0.714	0.465	0.297	0.396	0.280	0.300	0.825

Note: Diagonal elements shown in italics represent the square root of average variance extracted, while the other matrix entries represent the correlations

Structural model test

In the present study, structural equation modeling (SEM) was applied to test the conceptual model and proposed hypotheses using AMOS version 22 and maximum likelihood estimates. The result of initial SEM test did not result in a good model fit to the data (normed $\chi^2 = 2.531$, GFI = 0.832, AGFI = 0.079, CFI = 0.866, RMSEA = 0.067). Some of these values (GFI = 0.832, AGFI = 0.079, CFI = 0.866) were not within the acceptable range as recommended by Hair *et al.* (2010). Figure 2 presents the modified TPB model. The analysis revealed good model fit as all the values were within the acceptable range suggested by Hair *et al.* (2010) (normed $\chi^2 = 2.145$, IFI = 0.903, AGFI = 0.814, CFI = 0.902, RMSEA = 0.067). Based on the results obtained from the modification indices the following paths were added a directed path from NB (NB_iMC_j) to PB (PBEH), a directed path from NB (NB_iMC_j) to PBC (PBCN), and a directed path from attitudinal beliefs (B_iE_i) to SN (SNORM). These relationships were also observed in other studies (Ling, 2009; Oliver and Bearden, 1985).

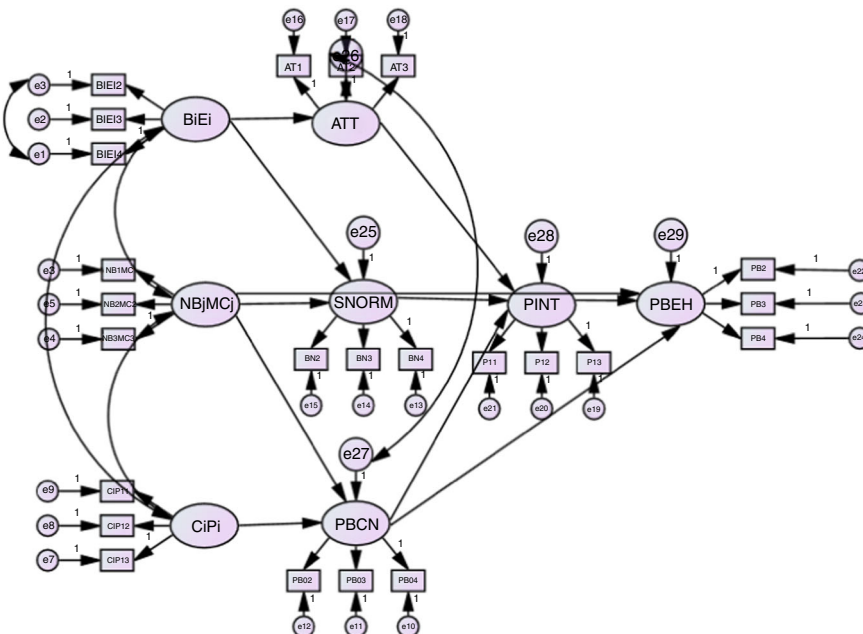


Figure 2.
Modified TPB model

As shown in Table IV, attitudinal belief had a positive and significant association with attitude toward luxury behavior ($\beta = 0.044, p < 0.001$) and SN ($\beta = 0.02, p < 0.001$). *H1* and *H8* were thus supported. NB was positively and significantly related with SN ($\beta = 0.099, p < 0.001$) as well as PBC ($\beta = 0.055, p < 0.05$) and PB ($\beta = 0.079, p < 0.001$). Therefore, *H2*, *H9* and *H10* were supported. Control belief also showed a positive and significant relationship with PBC ($\beta = 0.056, p < 0.01$). Therefore, *H3* was also supported. Attitude and SN both showed a significant and positive impact on luxury purchase intention ($\beta = 0.181, p < 0.01$; $\beta = 0.228, p < 0.001$). Therefore, *H4* and *H5* were both supported. In contrast, statistically significant relationship did not emerge between PBC and purchase intention since $p > 0.05$. Therefore, *H6a* was not supported. However, PBC was positively and significantly related with actual PB of consumers ($\beta = 0.116, p < 0.01$). Thus, *H6b* was supported. Purchase intention was found to be having a positive but insignificant relationship with PB as $p > 0.05$. Therefore, *H7* was not supported. Figure 3 presents revised framework based on empirical evidence and theory.

The modified model resulted in three additional hypotheses which are mentioned below. The data supported all these hypotheses (Table IV):

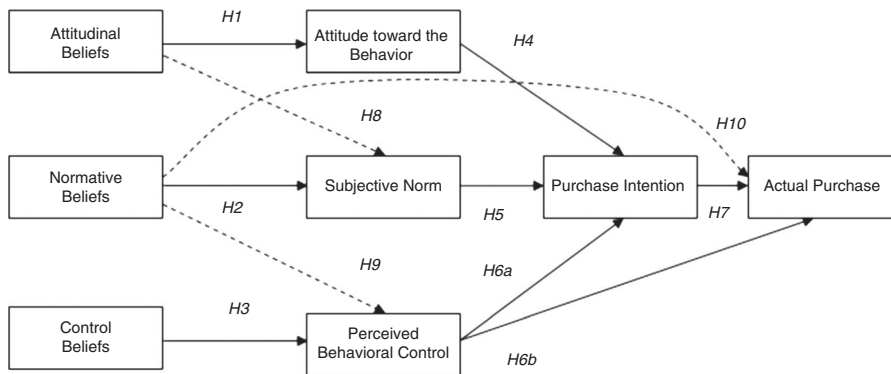
- H8.* Attitudinal belief has a significant, direct and positive impact on SN in relation to purchase of luxury fashion brands by consumers in India.
- H9.* NB has a significant, direct and positive impact on PBC in relation to purchase of luxury fashion brands by consumers in India.
- H10.* NB has a significant, direct and positive impact on actual PB toward luxury fashion brands by consumers in India.

Discussion and findings

This study provides comprehensive understanding regarding the impact of beliefs on the Indian consumers' purchasing behavior for luxury fashion brands. The study revealed that TPB model suggested by Ajzen (1991) did not satisfactorily explain consumer behavior with

Path description	Hypothesis	Unstandardized path estimates	Significance level	Result
Attitudinal belief → attitude	<i>H1</i>	0.044	$p = 0.000$	Supported
Normative belief → subjective norm	<i>H2</i>	0.099	$p = 0.000$	Supported
Control belief → perceived behavioral control	<i>H3</i>	0.056	$p = 0.002$	Supported
Attitude → purchase intention	<i>H4</i>	0.181	$p = 0.011$	Supported
Subjective norm → purchase intention	<i>H5</i>	0.228	$p = 0.000$	Supported
Perceived behavioral control → purchase intention	<i>H6a</i>	0.117	$p = 0.114$	Not supported
Perceived behavioral control → purchase behavior	<i>H6b</i>	0.116	$p = 0.008$	Supported
Purchase intention → purchase behavior	<i>H7</i>	0.029	$p = 0.544$	Not supported
<i>Additional hypotheses</i>				
Attitudinal belief → subjective norm	<i>H8</i>	0.02	$p = 0.000$	Supported
Normative belief → perceived behavioral control	<i>H9</i>	0.055	$p = 0.011$	Supported
Normative belief → purchase behavior	<i>H10</i>	0.079	$p = 0.000$	Supported
Notes: Normed $\chi^2 = 2.145$, IFI = 0.903, AGFI = 0.814, CFI = 0.902, RMSEA = 0.067				

Table IV.
Summary of
structural model



Notes: —> Indicates Ajzen model (1991); - - -> indicates additional hypotheses based on empirical evidence and theory

Figure 3.
Revised conceptual
framework for
the study

respect to luxury fashion brands in the context of the Indian market. However, when the TPB model was modified based upon the statistical inferences as well as suggestions of earlier researchers such as Ling (2009), it could successfully predict PB toward luxury brands of the Indian consumers.

The results obtained through SEM confirmed that all three beliefs – attitudinal belief, NB and control belief – were positively and significantly related with attitude, SN and PBC. These results were in line with the TPB model and similar results were obtained in earlier studies too (Ajzen, 1991; Ling, 2009). Results indicate that positive attitudinal belief toward purchasing luxury goods leads to positive attitude toward purchase of luxury goods. Similarly, social support from friends, family and colleagues regarding their purchase of luxury goods leads to a positive SN. The results also indicate that favorable control belief leads to positive PBC.

Attitudinal belief about purchasing luxury fashion goods was found to be an antecedent of not only attitude but also SN. NB showed a positive and significant relationship with PBC. These findings suggest that individuals backed with social support extended by friends, family and colleagues perceive greater control on purchasing luxury fashion goods. These results are consistent with the findings of the earlier studies (Ling, 2009). Present research also revealed that NB can have a direct influence on actual PB which signifies that consumers with social support can directly decide to buy luxury goods without the mediating role of SN and purchase intention. Thus, it can be concluded that “significant others” play an important role in luxury buying behavior of the Indian consumers. It can have a direct bearing on purchase of luxury goods. These results find support in the findings of earlier researchers that collectivists emphasize on group affiliation and public reputation (Wong and Ahuvia, 1998).

Results of this study reflect that both attitude and SN are the direct predictors of purchase intention. These results are in line with various studies conducted in the past (Kloeblen and Thompson, 1999; Choo *et al.*, 2004; Ramayah *et al.*, 2004; Ling, 2009). In contrast, weak relationship was found between PBC and purchase intention. Similar results emerged in other studies (Ma, 2007). PBC was found to have a direct, positive and significant relationship with actual PB showing that consumers having resources and opportunities may directly buy luxury fashion brands without having the mediating role of intent. These results find support in previous studies by Ajzen (1988) and Madden *et al.* (1992).

Few studies in the past have concluded that purchase intention may not accurately predict PB (Albrecht and Carpenter, 1976; Ajzen *et al.*, 2004; Son, 2007; Sanyal *et al.*, 2014).

This study also found insignificant relationship between purchase intention and PB reflecting intent to buy luxury brands among the Indian consumers. However, since these brands are exorbitantly priced, they may not be able to actually purchase them.

Implications

Practical implications

352

This study provides valuable implications for international luxury brands wishing to penetrate and expand in expanding the Indian market. It helps to explore the unique luxury buying behavior of affluent the Indian consumers and the driving force behind their purchase decisions. Modified TPB model suggested in this study provides new and deeper insights. It reveals that NB has a direct impact on the Indian consumers' actual PB toward luxury goods. The social support from friends, family and colleagues was found to be a major trigger leading to purchase of luxury brands by Indians. Further, India being a collectivist society, reference groups play a critical role in consumer decision-making process. This finding has significant implications for marketers. By emphasizing on the importance of reference groups in advertising campaigns, marketers can convey the influence of NB and SN on target group.

Marketing managers can segment the luxury market based on the social, personal, psychographic and behavioral variables and target the consumers effectively depending upon values (quality value, status value, hedonic value, materialistic value and self-concept value) they are looking for in these brands. Varied communication strategies need to be devised for different target groups.

Marketers can decide on strategies that embrace the fact that positive word of mouth can have a viral effect on the Indian consumer. In fact, the use of such interpersonal channels can result in significant gains for luxury companies. To convert potential customers into actual buyers, marketers need to work on developing favorable attitude toward luxury brands through promotional activity in fashion events and exhibitions, fashion magazines, luxury malls, etc. They can also use appropriate online platforms dealing in luxury products such as blogs, Facebook, Twitter; YouTube, etc. to promote these brands because of growing acceptance of these means of communication among affluent class in India (Jain *et al.*, 2014). In India, Bollywood stars too have a deep impact on consumers' mind set (Chadha and Husband, 2006; Eng and Bogaert, 2010). Therefore, they can be roped in by luxury brands for endorsing their products and thus create a yearning for these brands. This study also reveals an insignificant relationship between purchase intention and actual luxury PB. Marketers need to introduce entry-level luxury brands and emphasize on affordable luxury so that the large middle-class population which aspires to buy luxury brands can turn their dreams into reality.

The present study demonstrates that luxury buyers in India are young, upwardly mobile, well-educated and high-earning individuals. Females were found to be dominating the Indian luxury scene. Therefore, luxury retailers should develop appropriate strategies and embrace tactical moves to garner the attention of this audience so that they continue to make future purchases and become brand loyal. While designing communication strategies they can target the "independent" female consumer who makes her own decisions and lives life to the fullest.

Theoretical implications

The present research contributes significantly to the existing body of knowledge. Although, theoretical underpinnings of the present work have been widely applied in a cross-national context to explain varied consumer behavior (Bagozzi *et al.*, 2000; Shen *et al.*, 2003) but so far no study had been carried out to explore the impact of beliefs on luxury buying behavior in

the Indian context. Based on the findings of the present study, TPB model stands modified to better predict luxury buyer behavior in India.

This research also contributes to the extant literature through new findings that would help provide meaningful insights to the academicians and practitioners alike. Findings reveal that NB has a direct and significant effect on actual purchase of luxury fashion goods by the Indian consumers. It was also found that attitudinal belief is positively correlated with SN and that purchase intention is not a predictor of actual PB among Indians. While these findings need to be further validated in future studies, the present study does provide sound empirical evidence in support of results.

Limitations and directions for future research

The few limitations of the study provide directions for future research. The present work is limited in scope since the samples were derived from single geographic region, that is, New Delhi the capital city of India. Therefore, results obtained from this study need to be generalized with caution. Future research may be conducted with a more representative sample including luxury consumers from other metro cities of India, as a first step. At present the penetration of luxury in India is miniscule. Therefore, a sample size of 257 was considered appropriate. But, in future, with the rapid increase in number of people consuming luxury brands, research may be undertaken with a larger and more representative sample to better understand consumer behavior for luxury fashion brands in India. Present research explored new relationships in the context of TPB model which can be validated by future researchers in this field.

Note

1. Text highlighted in red indicates the changes made in the research paper as per the reviewers' suggestions.

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Appendix

Construct	Item	Source
Attitudinal belief		
Conspicuous value	CV1: purchasing luxury goods can be noticed and admired by others CV2: luxury fashion goods are a symbol of social status CV3: many people buy luxury fashion goods to show off CV4: I would buy popular luxury brands	Truong <i>et al.</i> (2008), Ling (2009)
Unique value	UV1: I would like to buy new and limited edition of luxury goods UV2: luxury goods would make me feel superior and unique UV3: I would avoid luxury brands that are bought by many people UV4: I would like to own luxury goods before others do	Ling (2009), Tian <i>et al.</i> (2001)
Social value	SV1: luxury brand provides group acceptance SV2: luxury brands are symbol of success SV3: a person who wears luxury brands is respected by others SV4: a person who wears luxury brands appears to be a member of a high social class	Li <i>et al.</i> (2012), Smith and Colgate (2007)
Hedonic value	HV1: purchasing luxury goods gives me lot of pleasure HV2: luxury fashion goods have strong sensory appeal HV3: shopping for luxury goods enhances my mood	Spangenberg <i>et al.</i> (1997), Tsai (2005), Smith and Colgate (2007), Babin <i>et al.</i> (1994)
Quality value	QV1: I would put emphasis on the quality over prestige while buying luxury goods QV2: I would buy luxury brand for their attribute and performance rather than listening to other's opinions QV3: I would buy luxury goods for their craftsmanship	Tsai (2005), Mathwick <i>et al.</i> (2001)
Evaluation of beliefs	CVE: luxury goods are purchased to capture other's attention UVE: I feel special when I buy luxury goods SVE: luxury brand enhances one's public image HVE: I would buy luxury goods purely for the experience I get from it QVE: I would buy Luxury goods for their superior product quality	Marcoux <i>et al.</i> (1997), Ling (2009), Smith and Colgate (2007), Mathwick <i>et al.</i> (2001), Tsai (2005)
Normative belief	NB1: my family would support my decision to purchase luxury fashion goods NB2: my friends would support my decision to purchase luxury fashion goods NB3: my colleagues would support my decision to purchase luxury fashion goods	Ajzen and fishbein (1980)
Motivation to comply	MC1: I want to do what my family thinks I should do, with regard to purchasing luxury fashion goods MC2: I want to do what my friends thinks I should do, with regard to purchasing luxury fashion goods MC3: I want to do what my colleagues thinks I should do, with regard to purchasing luxury fashion goods	Ajzen and fishbein (1980)

(continued)

Table AI.
Scale items

Construct	Item	Source
Control belief	CB1: the price of luxury fashion goods makes my purchasing decision harder CB2: the frequency of my usage of the luxury goods influences my purchasing decision CB3: the availability of counterfeit of a luxury brand would influence my purchasing decision	Ling (2009)
Perceived power	PP1: when the price of luxury fashion good is very high, I may not buy PP2: when my usage of luxury fashion goods is not frequent, I may not buy PP3: when the counterfeit of a luxury brand is easily available, I may not buy luxury brands	Ling (2009)
Attitude	AT1: your attitude toward purchasing luxury goods is negative or positive AT2: luxury goods are worthless or worthwhile AT3: luxury goods are useless or beneficial	Ling (2009), Fitzmaurice (2005), Madden <i>et al.</i> (1992)
Subjective norm	SN1: most people who are important to me think that I should purchase luxury goods SN2: many people around me have luxury fashion goods SN3: I feel social pressure to buy luxury fashion goods SN4: the people who I listen to could influence me buy luxury fashion goods	Ajzen and fishbein (1980), Ling (2009), Fitzmaurice (2005)
Perceived behavioral control	PBC1: I myself decide whether to buy luxury fashion goods or not PBC2: I have money to buy luxury fashion goods PBC3: for me purchase of luxury goods is very difficult or very easy PBC4: for me purchase of luxury goods is impossible or possible	Francis <i>et al.</i> (2004), Shim <i>et al.</i> (2001)
Purchase intention	PI1: I will try to buy luxury fashion goods in future PI2: I intend to purchase luxury fashion goods within next year PI3: the probability that I would buy luxury fashion brands within the next 12 months is high	Madden <i>et al.</i> (1992), Ajzen and Fishbein (1980), Bian and Forsythe (2012)
Purchase behavior	PB1: I almost never buy luxury goods PB2: I mostly buy luxury fashion goods for giving as gifts PB3: I mostly buy luxury fashion goods for myself PB4: I would buy luxury brands regardless of their price	Dubois <i>et al.</i> (2005), Schlegelmilchet <i>et al.</i> (1996)

Table AI.

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